

going to do what you want to do? the answer would always be, *Later*. Did I really want to live in Philadelphia, which is where Rohm & Haas was located? Not really. The realization that I had the economic freedom to sustain a business for three to five years totally turned me upside down. I spent a year in terrible turmoil.

Turmoil in trying to decide what you wanted to do?

Yes. Ultimately, I decided to manage money like I manage my own money. I started a hedge fund in 1990 with \$3 million; part of it was mine, and the rest was from friends and family.

What was the experience like managing a fund for the first time?

I went from regional director in Europe with everyone telling me how smart I was to managing a portfolio by myself out of my home. I felt a very low sense of self-worth. After nine months of this, I said to myself, *Claugus, you are a people person; you made a big mistake*.

What convinced you that you had made a mistake?

I think it was the loneliness. I had spent 17 years at Rohm & Haas. I missed my friends.

How had you done in terms of performance in those first nine months of managing the fund?

I was up in the first six months, but then I started giving money back. I think I was still up a little bit when I started to seriously question my decision to manage a fund.

Once I was unsure about what I wanted to do, I was afraid that if I continued on and lost money, I would feel a responsibility to make up the difference to my investors, and by reimbursing them, I could lose all the money I had saved up during the past 14 years.

Did you discover that managing money was different from what you had perceived it to be?

The responsibility of having other people's money really weighed on me. If you have a 10-year time horizon, you can make good decisions and make a lot of money. If you have a three-year time horizon, you could